

## Our 2026 AI outlook... and how we're "insuring" our portfolio in the new year

RiskHedge publisher Dan Steinhart and I (Stephen) recently took a two-week trip across America.

I flew 25,000 miles... traveled to six cities... met 40 leading innovators (including at least six billionaires). And the one topic on everyone's mind was... you guessed it... artificial intelligence (AI).

*Disruption Investor* members were early to the AI boom, first buying **Nvidia (NVDA)** in 2020. AI has been *the* megatrend driving markets since ChatGPT launched three years ago.

One thing I've learned over the past decade is that disruptive megatrends can last longer than you can stay interested. I see investors asking "When will the AI boom end?" They assume we're in a bubble that can pop at any moment.

It's easy to be down about AI right now. It sounds smart. But as we like to say, "Pessimists sound smart; optimists make money."

I've covered why we're not currently in an AI bubble and why this megatrend has legs in previous issues. You can read them [here](#).

This month, I'll show you where we are with AI today, where we're headed, and the new emerging winners worth betting on. I'll also share the four "plumbing" sectors that matter most... and Chris will walk you through the new way we're insuring our portfolio in 2026.

### In this month's issue

The AI train continues... but there's been a changing of the guard

Power is the #1 bottleneck

The great AI "re-rating" rolls on

How we're "insuring" our portfolio for 2026

### Key prices

|                       |           |
|-----------------------|-----------|
| S&P 500               | 6,829.37  |
| 1-Month (Gain) +0.85% |           |
| Nasdaq                | 23,413.67 |
| 1-Month (Gain) +0.28% |           |
| Russell 2000          | 2,464.98  |
| 1-Month (Gain) +1.55% |           |
| Dollar Index          | 99.35     |
| 1-Month (Loss) -0.87% |           |
| US 10-Year Yield      | 4.088%    |

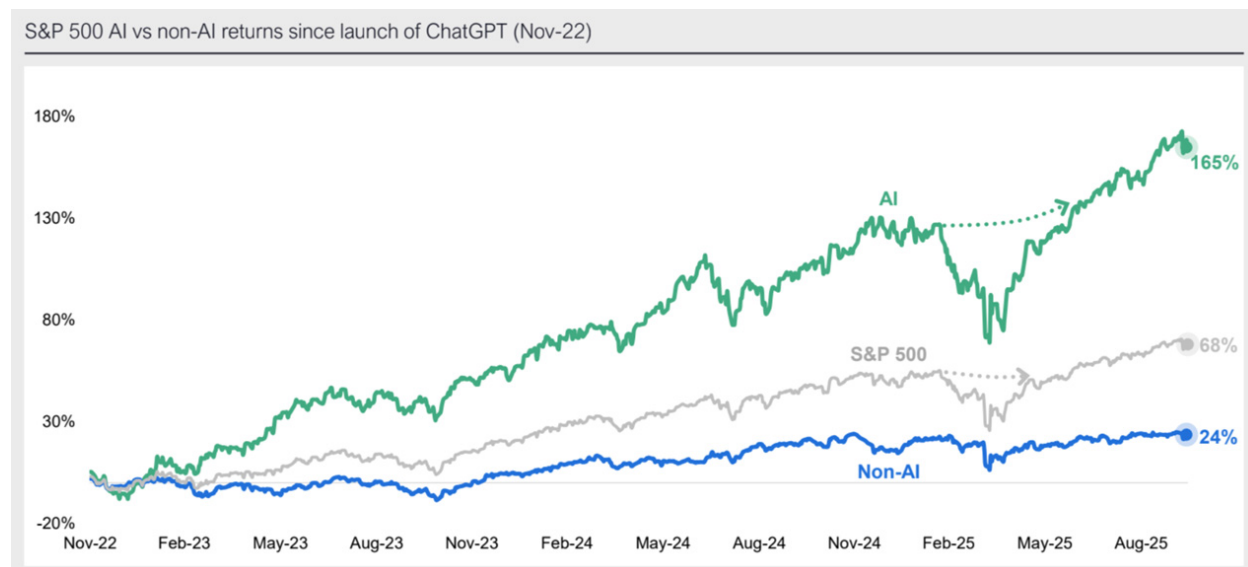


A RiskHedge Publication

# The AI train continues... but there's been a changing of the guard

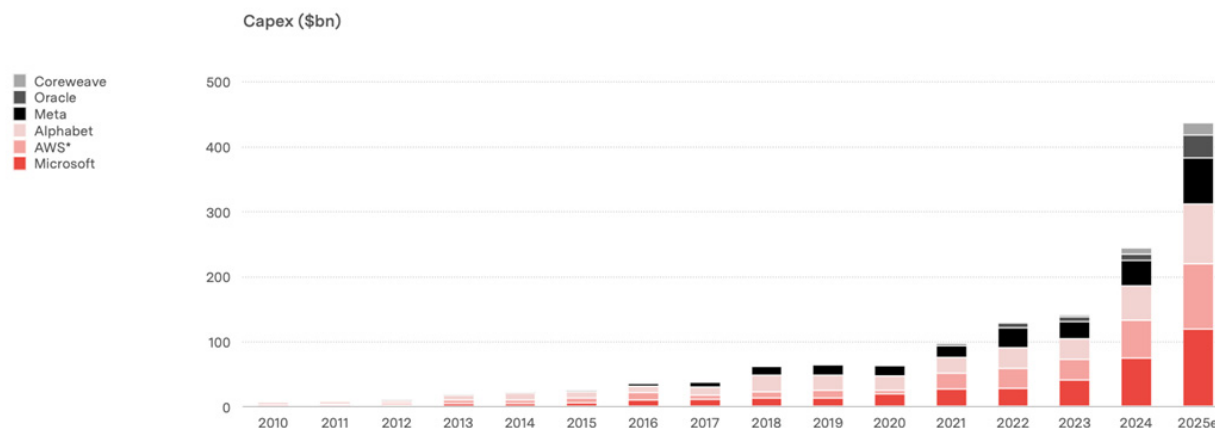
Chris and I spilled a lot of ink talking about AI in 2025, and for good reason. It's been the #1 megatrend driving markets.

As this chart from venture capital firm Coatue shows, AI stocks have been *the* place to be for investors:



Source: The VC Corner

So far, the AI boom has been driven by the largest infrastructure buildout ever. This year alone, big tech companies will spend north of \$400 billion building AI data centers:



Source: Benedict Evans on Threads

Total dollars spent on compute will exceed spending on crude oil in the next 10 years. That makes “compute” the largest commodity in the world.

The scale of the data centers being built today is hard to fathom. **Meta Platform’s (META)** Hyperion data center will be nearly 4X the size of Central Park once built!

OpenAI’s flagship project, Stargate, will consume 5 gigawatts (GW) of power. To put that into perspective, 1 GW powers roughly 750,000 homes and costs roughly \$50 billion. We’re building computer warehouses that consume as much power as Philadelphia.

Some investors look at these numbers and say, “There’s no way this is sustainable. AI is a bubble.”

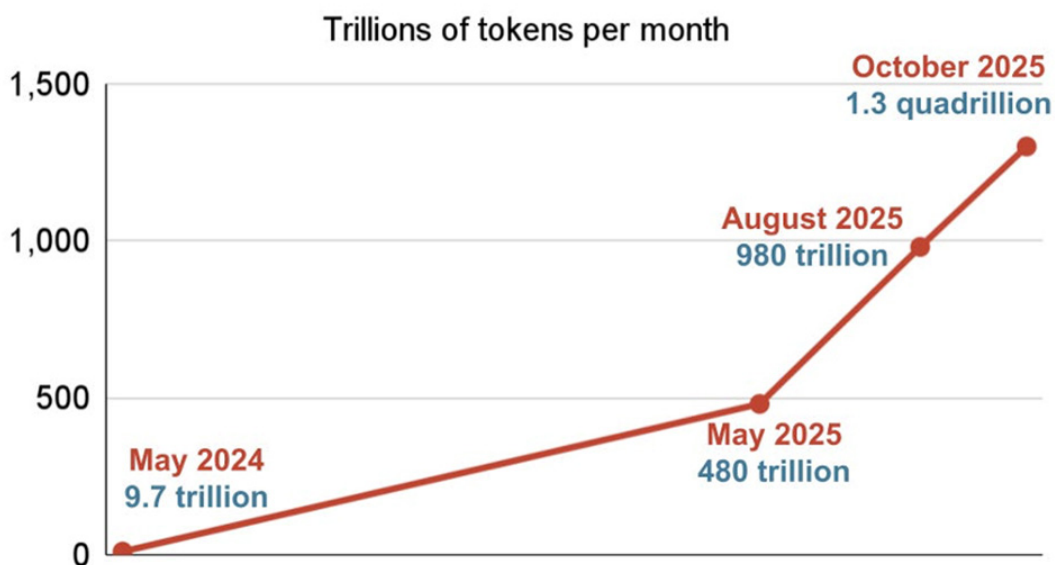
But they miss (at least) two important points. Unlike the dot-com boom when 97% of fiber cables lay “dark,” there are no dark GPUs.

Also, in the dot-com boom, infrastructure was bought by debt-fueled startups with zero profits. Today, it’s being bought by the most profitable monopolies in history.

And despite spending hundreds of billions of dollars, the “return on investment” for big tech companies is higher today than it was before the AI boom started.

ChatGPT is the fastest-growing app in history. **Alphabet (GOOGL)** is now processing 1.3 quadrillion AI tokens per month. That’s the equivalent of producing one *Lord of the Rings* book for every single person in the world, every month.

## Google processes crazy numbers of tokens



Source: Understanding AI

As someone who uses various AI tools dozens—maybe hundreds—of times per day, it's clear this technology is improving at a rapid rate. And as we often say, this is the worst it will ever be.

It's also notable that last quarter was the first time multiple S&P 500 companies gave concrete data on AI productivity boosting profits.

Trucking company **C.H. Robinson Worldwide (CHRW)** said internal AI agents raised shipments per day from 14 to 20. If you're delivering tens of thousands of items per day, that's millions of dollars in extra revenue.

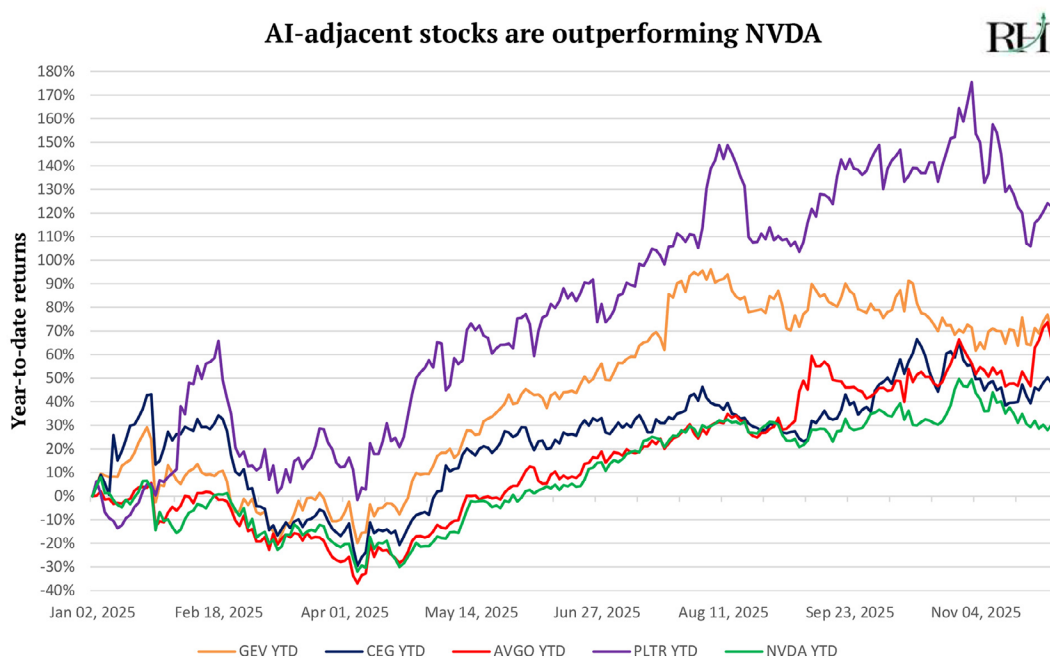
And we're only at the beginning. As more of the world adopts AI, the productivity gains will only increase. And that means more demand for AI apps, more compute, and a greater need for the infrastructure powering AI.

While the AI train continues, 2025 marked a "changing of the guard."

The big tech companies continue to get all the attention, as they're the ones doing all the spending. But for investors, the real action has been in the underlying apps and infrastructure swallowing up all that spending.

What if I told you a gas turbine maker... a boring power provider... a chipmaker... and an AI analytics company all outperformed AI posterchild Nvidia this year?

That's right... **GE Vernova (GEV)**, **Constellation Energy Corp. (CEG)**, **Broadcom (AVGO)**, and **Palantir Technologies (PLTR)** are all up 50%+ while NVDA is up only 30%:



© RiskHedge

Source: Investing.com

As we detailed [back in September](#), the changing nature of AI spending is minting new winners.

Let's walk through the four industries within AI set to thrive in 2026 and beyond...

## Power is the #1 bottleneck

In the past month, the CEOs of OpenAI, Alphabet, and **Microsoft (MSFT)** all told us the real bottleneck isn't chips...

It's energy.

Microsoft's Satya Nadella said it has GPUs sitting in racks that can't be turned on, as there isn't enough energy to feed them. And that's from a company spending \$100 billion building data centers!

In San Francisco, Andrew Mayne (a former OpenAI employee) said Sam Altman told him OpenAI is 12 gigawatts underserved on power right now.

AI growth is no longer constrained by how many chips you can get your hands on, but by how quickly you can get power.

This is why power utilities have handed investors 5X gains in the past three years.

Thirst for energy will only grow as AI factories keep getting bigger. A decade ago, nearly all data centers were under 10 megawatts. A large data center today will use 100 megawatts. And Elon Musk's xAI is building the world's first 1 gigawatt data center.

The problem is that America (and the West, more broadly) hasn't built serious power generation for 40 years. The US power grid is archaic, regulated, and slow. Getting connected to the grid takes five years, on average. But AI cannot wait years.

The blueprint for AI giants is to go off-grid and BYOP (bring your own power).

When building the "Colossus" cluster in Memphis, xAI installed 14 massive natural gas turbines on-site to generate its own power. It went from a gutted factory to a fully operational, 100,000-GPU data center in just 122 days. For perspective, it takes 234 days to build a single house.

I'm a longtime nuclear bull. I also think solar energy and batteries have a big part to play in our future. But AI companies need power yesterday. That's why natural gas and turbine makers like **GE Vernova (GEV)** will be big winners from the AI buildout for the foreseeable future.

Natural gas may not be totally "clean," but you can set up a couple dozen gas turbines next to a data center and get your chips whirring fast.

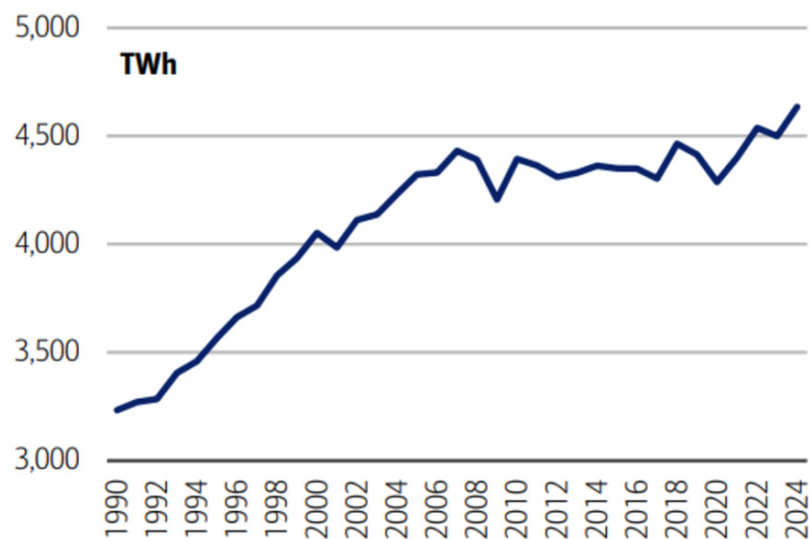
Today, 43% of data centers are powered by natural gas. The next closest competitor is nuclear, at 19%. With today's constraints, I expect gas' share to grow in 2026.

You can see this show up directly in earnings results. Big tech companies like **Amazon (AMZN)**, Microsoft, Alphabet, and Meta ordered \$900 million worth of turbines from GE Vernova in the past nine months alone!

One thing we learned on our recent travels is that AI is a catalyst for a lot of exciting trends, including forcing America to learn how to build power again.

AI—and all its promised riches—may be the only thing that can cut through all the red tape and bureaucracy that's made it almost impossible to build real things in America.

After flatlining for two decades, energy demand in the US is finally breaking out:



Source: Energy Institute

The countries that control compute will control AI. And you cannot have compute without energy.

**It takes 100 liters of water per second to cool just one of Cerebras' AI chips.**

One of the highlights of our recent US trip was touring Cerebras' data center near San Francisco. The first thing to note is it sits right next to a power plant. Every new data center will need to be hooked directly into a plant.

Walking into an AI data center is deafening. It sounds like a thousand vacuums running at full power. No wonder they offer you earbuds at the door.

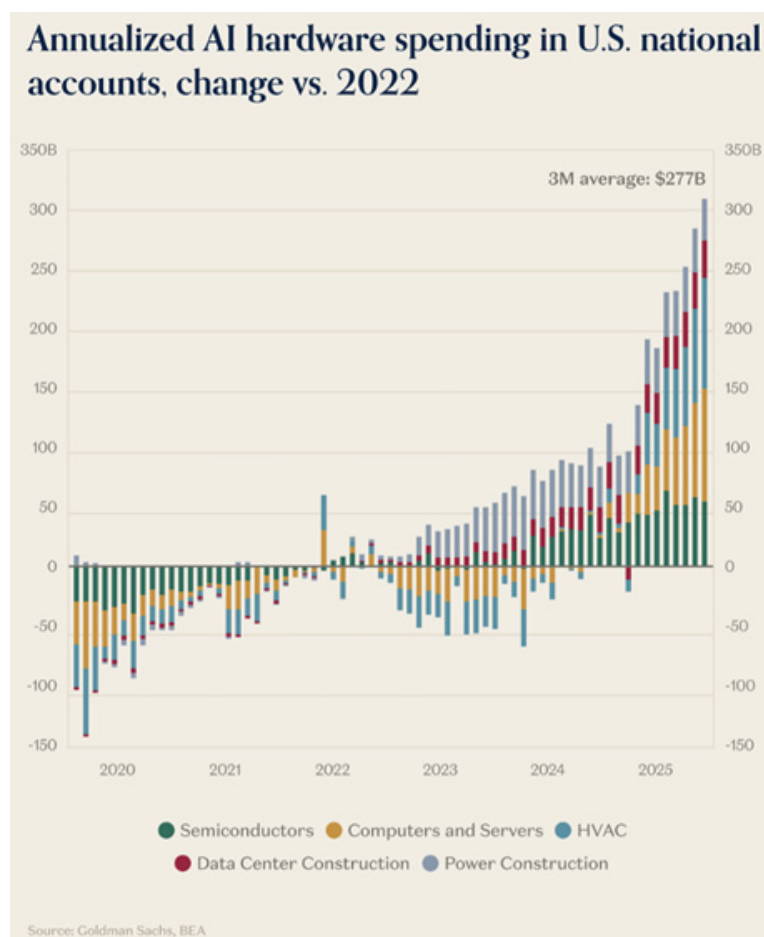
The best part of our tour was seeing the cooling systems pumping 100 liters of water per second into each server. There are literal water pipes running throughout the facility to cool the chips.

*Disruption Investor* members know all about [liquid cooling](#). We've doubled our money on best-in-class **Vertiv Holdings (VRT)**. I saw millions of dollars' worth of Vertiv equipment inside Cerebras' data center.

For decades, we cooled data centers by simply blowing cold air down the aisles. You still have some air cooling (the doors of the AI servers we touched fanned out cold air). But the chips now run so hot, we're entering the liquid-cooling era.

A few years ago, a standard **Intel Corp. (INTC)** CPU generated about 125 watts of heat. Nvidia's next generation of chips generate 14X more heat.

This is forcing data centers to adopt liquid cooling, which involves piping water directly to the chip. That's why "cooling and ventilation" (blue line) are the fastest-growing slice of AI spending:



Source: Goldman Sachs

Essentially, every new AI data center being built will rely entirely on liquid cooling. It's the only way to stop chips from melting down.

You can see this growth in Vertiv's revenues, which doubled in the past four years. And Vertiv now has a whole year's worth of revenue as a backlog as the industry moves to liquid plumping.

## The great AI “re-rating” rolls on

We talked about how AI's unsatiable thirst for energy turned boring ol' utilities into the best-performing stocks in the market.

The same is now happening to memory chip firms.

For decades, “memory” was the dog of the chip world. While Intel and Nvidia sold chips for thousands of dollars, memory chips were basically commodities. They were also extremely cyclical, going through wild booms and busts every few years.

AI transforms memory chips from “dog” to “top dog.”

A typical AI server chews through 8X more memory than a classic computer. On Nvidia's latest Blackwell chips, about 60% of the total manufacturing cost is memory. The memory bill has become bigger than the compute bill!

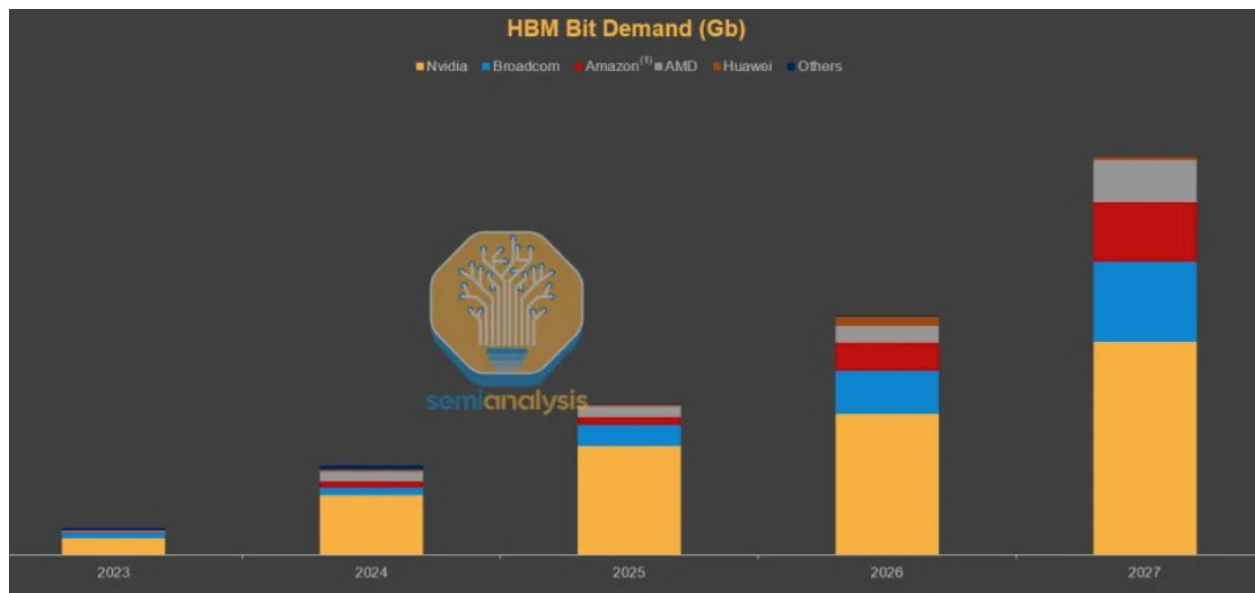
Right now, the big bottleneck in AI is that chips are fast but feeding them data isn't. More than 90% of the time it takes an AI model to respond is spent shuttling data back and forth between logic and memory chips.

The industry calls this the “memory wall.” Compute keeps getting faster, but memory hasn't kept up. So \$50,000 chips sit idle waiting for data.

*Disruption Investor* members know High-Bandwidth Memory (HBM) is the solution. HBM is a fancy term for stacking memory chips like a skyscraper and bolting them right next to the GPU. This means data only has to travel millimeters, not inches.



Now, memory makers like **Micron Technology (MU)** and SK Hynix earn most of their revenues from AI chip companies like Nvidia. That's only going one way: UP.



Source: Semi Analysis

Our holding Micron is a key player. Its HBM chip is sold out through next year, and customers are signing long-term contracts to guarantee supply.

The other positive shift in memory is moving from a highly competitive market with dozens of players to one where three players—SK Hynix, Micron, and Samsung—now control 97% of the market. This allows these firms to charge more for their chips.

### **The “compute” needed to train the latest AI models has surged 1,000,000X since 2010.**

As AI models grow, we can't train them on a single chip or even a single rack of chips anymore.

Instead, we have to string together 100,000 GPUs to act as one single “super brain.” To make that work, the data transfer speeds between GPUs must be instantaneous.

Just as blowing cold air inside data centers no longer does the job, sending data over copper wires doesn't cut it anymore. Standard copper wires can't handle the distance and speed required for these massive clusters.

That's why the new gold standard is fast becoming coherent optics.

“Optics” refers to fiber optic cables. Yes, like those things that we overbuilt during the dot-com buildout. They're specialized fiber optic cables that enable high-speed, long-distance data transmission. They allow AI powerhouses to work together as if they were in the same room.

Instead of sending data as electricity over copper wire, they turn data into laser light and shoot it down glass threads at the speed of light.

Copper is cheap, heavy, and simple. It works great for connecting things that are inches apart. You simply cannot run a copper wire from one end of Manhattan to the other; the signal would die. When you build a multi-campus AI factory, you need optical fiber to connect the buildings together.

Optics are expensive and complex. But they can carry massive amounts of data over long distances without losing speed.

On Nvidia's new GPU racks, the optics bill alone can top \$500,000. The internal cabling of these data centers is becoming as complex and expensive as the servers themselves.

Optics offer AI companies another huge advantage: They allow you to link dozens of mini data centers together.

But how do you get AI chips that may be hundreds of miles apart to "talk" to each other at nanosecond speeds? Coherent optics. Optics is the most "underrated" piece of AI infrastructure today.

We're already profiting from this trend with **Arista Networks (ANET)**, which is building the switches that manage this massive web of light.

We're also watching **Coherent Corp. (COHR)**, **Ciena Corp. (CIEN)**, and **Lumentum Holdings (LITE)**, which make the lasers and glass that allow this light-speed travel.

**For the past 50 years, every disruption has surfed on the wave of Moore's Law.**

This law basically states that, every two years, we'd squeeze twice as many transistors onto a chip.

This meant computer chips got faster and cheaper year after year, which gave us PCs... laptops... the internet... cloud computing... smartphones... and even enabled dirt-cheap solar panels and DNA sequencing.

Our research tells us AI is the new Moore's Law. Roughly every six months, AI models double in size. This makes them better, faster, cheaper, and more capable.

AI is Moore's Law on steroids. Moore's Law had one engine: transistor density. AI has three scaling laws driving it forward:

**#1: Training scaling.** The more data you feed into a model, the smarter it gets. The rule of thumb is when you 10X the amount of data, the model roughly doubles in quality.

**#2: Reasoning.** In the past, AI blurted out the first answer that came to mind. Reasoning models, like OpenAI's o1 and Gemini 3, pause and break complex problems into steps before answering.

**#3: Test-time compute.** AI researchers discovered that if you force a reasoning model to “think” for longer, its answers improve dramatically. We can now improve quality just by paying for more electricity during the test.

Moore’s Law put a supercomputer in every pocket. AI will put a genius in every pocket.

As we see it, the “easy” money in the AI trade—buying Nvidia, which we’ve taken profits on twice on the way up—is over. But our research points to it still being early in the AI megatrend. Heck, the first gigawatt-scale data center hasn’t even come online yet.

The real opportunities for 2026 are twofold:

**Underrated infrastructure:** The gas turbines, liquid-cooling systems, memory chips, and optical cables powering the next phase of the AI buildout.

**The “apps:”** Disruptors leveraging AI to build world-class products like **Uber (UBER)**, **Dynatrace (DT)**, and **Tesla (TSLA)**, all in our Disruptor 20.

We see big upside ahead from AI’s next wave of disruptors—and we’re positioning the portfolio to capture it. But we’re also taking smart steps to shield ourselves from any short-term volatility.

I’ll hand it over to Chris, who will show you how we’re doing both.

## How we’re “insuring” our portfolio for 2026

We can’t wait to share the best opportunities in AI “apps” and underrated infrastructure with you in the coming months—and add these stocks to our holdings. But we can’t forget about protecting our portfolio, too.

More than three decades of investing experience has taught Stephen and me (Chris Wood) that if you own great businesses profiting from disruptive megatrends—like we do in the *Disruption Investor* portfolio—the long term typically takes care of itself.

Over a multi-year period, there’s a high probability that the stocks we own will continue to power ahead, regardless of the macroeconomic backdrop.

But in the short term, even great stocks get tossed around in emotional waves as market sentiment shifts with seemingly no rhyme or reason.

Meanwhile, no matter how bullish we are, we think it’s smart to always invest like we might be wrong.

That’s where portfolio “insurance” comes in. Like home insurance, we hope we don’t end up needing it. But it’s an absolute necessity.

Our insurance of choice for protecting against a stock market downturn is to buy put options.

A put option contract gives the buyer the right, but not the obligation, to sell shares in a security (like a stock or ETF) at a certain price (the “strike price”) by a certain date (the “expiration date”).

As the buyer of a put option, you pay a premium for that right.

Each put option contract represents 100 shares of the underlying security.

You can think about it like this: Buying a put option is like buying insurance on your car. You pay a premium to the insurance company. If you get in an accident (the stock market crashes), the insurance pays out.

If you don’t get in an accident (the market only dips a little, stays flat, or goes up), you “lose” the premium you paid, but you’re happy because nothing bad happened.

Here’s how puts work in practice:

If the underlying security falls below the strike price by the expiration date, the put option is said to be “in the money.”

As the buyer of the put, you have the right to sell the security at a price that exceeds the current market price. You could also sell the put option contract before the expiration date to capture this value.

If the underlying security doesn’t fall below the strike price by the expiration date, the put option is said to be “out of the money.” In that case, the option expires worthless. And you, as the buyer of the put, lose the entire premium you paid.

We like buying put options for portfolio insurance because your losses are limited. If you pay \$800 for a put option contract, that’s all you can lose. This is much safer than other strategies like shorting stocks, which have theoretically unlimited losses.

We also like using puts for insurance because you can often buy a significant amount of protection relatively cheaply.

To figure out the best way to “insure” our *Disruption Investor* portfolio, we need to understand which market index is more prone to big swings—the Nasdaq or S&P 500—because a more volatile index can provide better protection for our tech-centric portfolio.

I crunched the numbers from the last eight corrections (drawdowns of 10% or more) using YCharts data and confirmed what we already knew from experience: the Nasdaq is more volatile than the S&P 500.

For the drawdowns I studied, the Nasdaq declined 2.6% more than the S&P 500 during each correction, on average. That makes it a better match for our portfolio. More important, during the 2022 bear market—the most relevant recent example for a tech-heavy portfolio—the Nasdaq fell about 37% while the S&P 500 declined about 25%.

The higher volatility means Nasdaq-focused puts can pack a bigger punch as insurance because the underlying index they're tied to declines more sharply when fear hits. If our goal is to protect a tech-heavy portfolio, buying put options on a more volatile index like the Nasdaq makes sense.

It's like insuring your high-performance sports car instead of a family sedan. The sports car (tech index) might crash harder, so you'll pay more upfront but insurance payouts on it can be larger.

That said, there are no options available on the Nasdaq composite index according to our data sources. The closest proxy to the index is the **Fidelity Nasdaq Composite Index ETF (ONEQ)**. It has options contracts available for trading, but the volume is way too low to be a viable portfolio insurance strategy.

So we're opting for options on the **Invesco QQQ Trust (QQQ)**, an ETF that tracks the performance of the Nasdaq-100 Index.

The Nasdaq-100 Index tracks 100 of the largest and most actively traded non-financial companies listed on the Nasdaq. Its holdings include seven of our *Disruption Investor* stocks: Nvidia, Tesla, Micron, Broadcom, **CrowdStrike Holdings (CRWD)**, **Palo Alto Networks (PANW)**, and **Zscaler (ZS)**.

So QQQ is a great fit for our portfolio. It's among the most liquid options, too, which means:

- You can enter your protective put position at a competitive price.
- You can exit quickly if the market crashes and you want to lock in gains.
- You won't lose money to wide bid-ask spreads.
- You'll always have accurate, up-to-date pricing.

Even if another ETF were a slightly better theoretical match for our portfolio, it wouldn't matter if we couldn't trade its options efficiently.

Volume isn't just a nice to have—it's a necessity. QQQ's exceptional liquidity is a big reason why it's our top recommendation for portfolio insurance.

**Recommendation: Buy put options on the Invesco QQQ Trust (QQQ).**

Specifically, for every \$25,000 invested in tech stocks, we recommend purchasing one June 30, 2026 put contract (equivalent of 100 shares) on QQQ at the \$500 strike price for \$12.00 or less.

To see what kind of protection this option can offer, consider the following scenario:

Let's say by June 2026, QQQ has declined 25% from the current price (about \$618), and your \$25,000 investment in tech stocks has performed in lockstep, declining 25% as well.

That would translate into a \$6,250 decline in portfolio value.

At the same time, your put option contract would likely be worth over \$3,600, providing a solid hedge. In other words, for every \$1,200 you spend on your put option contracts, you're getting 3X that in insurance.

In this scenario, you'd offset nearly 40% of your \$6,250 portfolio loss—turning a painful 25% decline into a much more manageable 15.4% hit.

And if the market suffers an even more violent downturn—say 35% or 40%—your puts will pay off even more handsomely. In a 35% crash, for example, each put contract would be worth about \$9,750, more than offsetting your entire portfolio loss.

If things play out like this, we won't recommend exercising your puts. Instead, we'll recommend just selling them for a gain to monetize them.

And if you can get a better price than our ceiling of \$12.00—like the current market price of \$9.70—you'll be even better protected.

Remember, this is portfolio insurance. Like insurance on your house, we hope to pay the premium and never need it. But if we do, we're protected.

To recap, here's what to do. Initiate a "Buy to Open" order with your broker, with these instructions:

Ticker: QQQ260630P00500000

- Underlying Security: QQQ
- Option Type: Put
- Expiration: June 30, 2026
- Strike Price: \$500

Trade Type: Buy to Open

Price Type: Limit Order

Duration: GTC (Good 'Til Canceled)

Limit Price: \$12.00 or lower, depending on current trading

Of course, countless scenarios could play out in the real world. But it boils down to this: If the market undergoes a pronounced correction before the middle of next year, these put options will increase in value and soften the blow. And their value will increase even more if the market suffers a more violent turndown.

Also, remember that paper losses to your portfolio need not be realized. But gains on these puts could be pocketed or put to good use buying assets that have gone on sale.

Gains on our SPY puts, for example, allowed us to take a “Free Ride” and recoup most of the cost of our portfolio insurance for 2025 while remaining protected at the same time.

**Speaking of those SPY puts, they’re set to expire at the end of the year, on December 31. You don’t need to do anything. They’ll just disappear from your account when they expire.**

**Action to take: Buy \$500 strike price QQQ put options—with an expiration date of June 30, 2026—at \$12.00 or lower.**

Two of our holdings will report earnings before the next *Disruption Investor* publishes on January 2:

- **Broadcom (AVGO):** December 11
- **Micron Technology (MU):** December 17

Please note that the dates listed above are subject to change.

And for the most up-to-date guidance on our current positions, [click here](#) to view the portfolio online.



Chris Wood and Stephen McBride

---

[READ IMPORTANT DISCLOSURES HERE.](#)

YOUR USE OF THESE MATERIALS IS SUBJECT TO THE TERMS OF THESE DISCLOSURES.

Copyright © 2025 RiskHedge. All Rights Reserved